

INTELLIGENCE BRIEF / N° ADHOC · WARM

Redwood Materials

Battery Recycling / Circular Battery Materials · Carson City, NV · Private (\$6B+; Series E Jan 2026; ~\$2B equity + \$2B DOE loan)

Tesla co-founder JB Straubel's Redwood Materials raised a \$425M Series E at \$6B+ (Eclipse, Alphabet) and is the battery-circularity leader - never in motorsport, and a uniquely on-message fit for electric racing, with the battery lane open on Andretti.

74

OPPORTUNITY / 100

TIMING WINDOW

WARM

SERIES

FE

RECOMMENDED TEAM

Andretti

ACTION HORIZON

8-12 WKS

THE CASE

Redwood Materials, founded by Tesla co-founder and former CTO JB Straubel, is North America's battery-circularity leader - recycling end-of-life batteries and producing sustainable cathode and anode materials for automakers and cell makers. In Jan 2026 it closed a \$425M Series E at a \$6B+ valuation (led by Eclipse, with Alphabet/Google), on top of ~\$2B in equity raised and a \$2B Department of Energy loan commitment, and it has added a fast-growing, profitable second-life arm (Redwood Energy) that redeploys retired EV batteries as grid storage for AI data centres. It has never touched motorsport. For an all-electric championship whose Gen4 era (2026-2030) is built on circular design and recyclable materials, a battery-circularity leader is an unusually on-message partner. Battery-materials is crowded grid-wide (Umicore partners Mahindra; Envision's parent makes cells), but the lane is open on Andretti - its materials partner NAGASE works in carbon-fibre/composite recycling, a distinct stream - and Andretti is the American, sustainability-leading, charter FE team that fits an American circularity champion. Led by founder-CEO Straubel, the right and only real entry point.

WHY NOW

Post-Series E, Redwood has fresh capital and is scaling commercially (including a profitable new energy-storage line), which is when companies invest in brand and category leadership. There is no hard external clock, so the value of moving now is positional: claim the open battery-circularity lane on the right team before the category - already filling at Mahindra and Envision - consolidates across the grid, and build the founder relationship while inbound interest is still low (~30).

PROOF POINTS — EVERY FIGURE VERIFIED TO A PRIMARY SOURCE (SEE P.2)

\$6B+

Valuation (Series E, Jan 2026; \$425M round led by Eclipse, with Alphabet/Google)

~\$2B equity + \$2B DOE loan

Equity raised to date plus US Department of Energy loan commitment

JB Straubel

Founder & CEO (Tesla co-founder and former CTO)

Redwood Energy

Second-life arm (Redwood Energy) redeploys retired EV batteries as grid storage; profitable

Carson City, NV

Headquarters

GRID FIT — CATEGORY-WHITESPACE CHECK ACROSS THE FE GRID (1440 TEAM-FIT ENGINE)

Andretti	OPEN	no rival in this category lane
◆ RECOMMENDED		
Porsche	OPEN	no rival in this category lane
Jaguar TCS Racing	OPEN	no rival in this category lane
Nissan	OPEN	no rival in this category lane

BOTTOM LINE

JB Straubel's (Tesla co-founder) battery-circularity leader: \$6B+ after a \$425M Series E (Jan 2026, Eclipse + Alphabet), ~\$2B equity plus a \$2B DOE loan, and a fast-growing, profitable second-life grid-storage arm. Battery circularity is the most on-message story in electric racing - and while battery-materials is crowded grid-wide (Umicore at Mahindra, Envision AESC), that lane is open on Andretti (NAGASE there is composites, not batteries). Founder-CEO Straubel is the entry.

NEVER ENTERED FUNDING EVENT CATEGORY WHITESPACE DISCOVERY: SELF

WHY ANDRETTI

Andretti is the American, charter, sustainability-leading FE team - a clean cultural match for an American battery-circularity champion - and its battery-materials/recycling lane is open (NAGASE covers composites, TWG AI covers AI, Porsche the powertrain). It lets Redwood own a distinct, on-message 'circular battery' category rather than competing with an incumbent, with a relationship that can run the full Gen4 cycle.

VALUE TO ANDRETTI — MODE B (TECH SERVES THE TEAM OPERATION)

MODE B with real, named mechanics across three fronts. (1) SUSTAINABILITY / CIRCULARITY WORKSTREAM: Redwood recycles batteries and makes sustainable cathode materials, and its second-life arm redeploys retired packs as grid storage - a credible basis to build and certify a genuine closed-loop battery story for the team (end-of-life cell recovery, recycled-content sourcing, second-life energy at the team's facilities) that Formula E's audience and the FIA's net-zero/Gen4 circular-design agenda actually reward - hard substance, not a green logo. (2) COMMERCIAL / B2B: Redwood's customers and targets are automakers and cell makers, exactly the manufacturers and suppliers who populate the Formula E paddock - so team hospitality becomes a working channel into the EV-supply-chain decision-makers Redwood needs, while Andretti gains a well-capitalised (\$6B+) circularity anchor in a category it currently lacks. (3) BRAND / CONTENT / TALENT: JB Straubel's Tesla pedigree and 'the company closing the loop on the batteries that race' is a powerful, ownable co-marketing narrative, with a content series on battery circularity and a recruiting halo for the battery/materials/energy engineers both sides compete for. Andretti gets a distinctive circularity partner and a real sustainability-data story; Redwood gets an on-message global brand stage and access to its exact buyers.

DEAL ARCHITECTURE

Official Battery Circularity / Sustainable Materials Partner tier on Andretti, minimum three years (aligned to the Gen4 cycle), ~\$3-5M/yr, with category exclusivity in battery recycling/materials and a defined closed-loop + content activation workstream.

PRIMARY DECISION-MAKER

JB Straubel

FOUNDER & CEO, REDWOOD MATERIALS - VERIFIED (TESLA CO-FOUNDER AND FORMER CTO)

Founder and CEO, and as a Tesla co-founder one of the most credible figures in the EV world - the owner of brand and strategic-partnership decisions at this founder-led company, and the right (and effectively only) entry point. Approach Straubel with a substance-led closed-loop thesis tied to FE's Gen4 circular-design agenda, not a logo pitch.

OPENING ANGLE

"JB - Formula E's Gen4 era is built on circular design, and no one closes the battery loop like Redwood. Andretti is American, a sustainability leader, and its battery lane is open. A real closed-loop workstream and content engine, not a logo. 25 minutes?"

SCORE COMPOSITION

TIMING 16 / 20 Closed a \$425M Series E in Jan 2026 at \$6B+ (led by Eclipse, with Alphabet/Google) and is scaling a fast-growing, profitable second-life energy-storage business - active capital and momentum now.	CAPACITY 17 / 20 \$6B+ valuation, ~\$2B equity raised plus a \$2B DOE loan commitment - easily funds a multi-year FE partner tier.	BRAND FIT 16 / 20 Battery circularity is uniquely on-message for an all-electric championship; the battery-materials/recycling lane is open on Andretti, though it is crowded grid-wide (Umicore at Mahindra, Envision AESC) - a strong but not pristine category.	URGENCY 11 / 20 Well-funded and private with no imminent IPO or competitor clock - the value of acting now is positional, not a dated trigger.	OPS FIT 14 / 20 MODE B leaning A: battery recycling, sustainable cathode materials and second-life storage genuinely relate to FE's battery lifecycle - a credible circularity and content workstream, though not an in-car race system.
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RISKS & COUNTERS

CATEGORY CROWDED GRID-WIDE Battery-materials partners already sit at Mahindra (Umicore) and Envision (AESC cells). **Counter:** Claim a team-level position on Andretti, where the lane is genuinely open - not grid-wide exclusivity; the differentiated American-team + circularity-leadership narrative is the wedge.

CAPITAL-INTENSIVE, MISSION-FOCUSED A heavy-industry company building gigafactories may see motorsport as off-mission. **Counter:** Frame as access to EV-supply-chain buyers, a certified closed-loop sustainability story, and a talent magnet - kept value-to-mid and tied to measurable outcomes.

OVERLAP PERCEPTION WITH NAGASE Andretti already has a materials/recycling partner (NAGASE). **Counter:** NAGASE works in carbon-fibre/composite recycling - a distinct material stream from battery circularity; position Redwood precisely in batteries, where the lane is open and complementary.

SOURCES

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